The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

America's annual **inflation rate** reached its highest level since May 2024, rising to 3.3% in March, up from 2.4% in February. The jump was driven by surging petrol prices caused by the war in **Iran**. The core rate, which strips out volatile food and energy prices, rose only slightly, suggesting that the impact of the war is yet to spread through the economy.

Brazil's annual inflation rate also rose, increasing to 4.1% in March from 3.8% in February—slightly exceeding analysts' expectations. President Luiz Inácio da Silva has tried to mitigate against higher energy prices with fuel subsidies, tax cuts and biofuels. After lowering rates last month for the first time in two years, the rise may force the central bank to reconsider further cuts.

Iran said its participation in negotiations with **America**, scheduled for Saturday in Pakistan, is conditional on the unfreezing of Iranian assets abroad and a ceasefire in Lebanon. Binyamin Netanyahu, **Israel's** prime minister, had promised to seek "peaceful relations" with Lebanon while maintaining that attacks against Hizbullah would continue. Lebanese authorities say that Israeli strikes have killed more than 300 people since Wednesday.

Mr Trump warned **Iran** not to charge ships for passage through the **Strait of Hormuz**. The president criticised the Islamic Republic for doing a “poor job” of keeping oil supplies flowing and for violating the terms of the ceasefire. Earlier Mojtaba Khamenei, Iran’s supreme leader, announced that management of the strait would enter a “new phase”.

Cuba’s president vowed not to resign despite America’s blockade of his country. Miguel Díaz-Canel told NBC that Cuba would not be “subjected to the designs of the United States”. Meanwhile Russia pledged support for Cuba, including help with energy. Sergei Ryabkov, Russia’s deputy foreign minister, said the Kremlin cannot “betray Cuba” during America’s “illegal and absolutely unacceptable blockade”.

TSMC, a Taiwanese chipmaker, reported a 35% rise in revenue for the first quarter of 2026, compared with a year earlier. Sales, including those for AI chips used by Nvidia and Apple, grew by 45% in March. Despite higher energy costs arising from the Iran war, analysts expect demand to hold. TSMC’s shares have increased by more than 25% so far this year.

Stefano Gabbana, co-founder of the Italian fashion house **Dolce & Gabbana**, stepped down as chairman of the brand after over 40 years, though he will retain a creative role. The firm, which is famous for its leopard-print designs, is struggling: it has around €450m ($528m) in debt, while sales have dwindled as people splash out less on luxury goods, particularly in China.

Figure of the day: 187, the number of tankers trapped in the Strait of Hormuz. Read the full story.

Photograph: Getty Images

America and Iran meet face-to-face, finally

On Friday American negotiators led by J.D. Vance, the vice-president, are expected to depart for Islamabad, Pakistan's capital. There, they will hold the first in-person talks about the war with their Iranian counterparts, led by Mohammad Bagher Qalibaf, the speaker of Iran's parliament.

A two-week ceasefire, which began early on Wednesday, is precarious at best and pretend at worst. Iran accuses America of violating it; each side disagrees about what it covers. (Israel, America's fighting partner, claims it does not include its war with Hizbullah in Lebanon.) Both Iran and Israel carried out strikes on Wednesday; the Strait of Hormuz reclosed shortly after it was reopened.

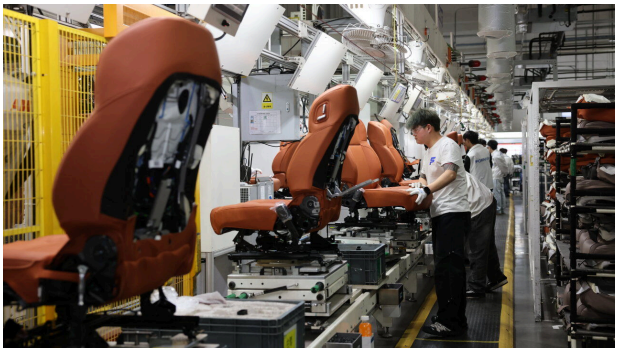
They also disagree, of course, about plenty else, including Iran's nuclear material (America insists Iran surrender it), the strait (Iran wants to maintain control and charge ships to use it) and American sanctions. If relief from those sanctions means Iran stops threatening its neighbours, both sides may benefit. If the war resumes, both will be worse off.

Photograph: Getty Images

America counts (some of) the war’s cost

America’s annual inflation rate rose to 3.3% in March, up from 2.4% in February. Rising energy costs have pushed up consumer prices, especially for air travel. At the end of February oil cost around $70 per barrel. Then Donald Trump began his war in Iran. Petrol prices, which Americans watch closely, rose from just below $3 per regular gallon to more than $4. March’s data will capture some, but not all, of that rise.

Events have since taken another turn with a tentative ceasefire. Oil prices have fallen a bit, to roughly $100 a barrel from more than $110 at the start of April. But Iran is still stopping most tankers from passing the Strait of Hormuz. Goldman Sachs thinks that if the strait were to remain blocked for another month, oil would remain above $100 a barrel on average for the second half of the year. Next month’s inflation figures will reflect the war’s economic effects even more clearly.



Photograph: Getty Images

The war may save China from deflation

Meanwhile, the war's economic fallout could, ironically, help China achieve one of its economic objectives for the year: lifting inflation into positive territory. China's producer prices (also known as factory-gate prices) have fallen every month since October 2022. Some economists have worried that China could follow Japan, where the expectation of deflation became deeply entrenched and self-reinforcing.

The sharp increase in oil and gas prices in March may have been enough to break China's deflationary trend. Figures released on Friday showed that producer prices rose by half a percentage point last month compared with a year earlier.

This is of course a horrible way to exit from deflation. And if China's domestic demand does not pick up, escape could be fleeting. But the war has at least reminded China's firms and households that prices can rise as well as fall, shaking people out of a "deflationary mindset" like the one that gripped Japan for so many years.

Photograph: Reuters

The role of Britain’s armed forces

When the Iran war began, Britain’s defence establishment copped some flak. Critics averred that the armed forces were too slow to protect nearby British military assets, including a base in Cyprus targeted by Iranian drones. The Royal Navy eventually dispatched a Type 45 destroyer, but it joined defensive operations in the Mediterranean only on March 24th, almost a month after the conflict started. Donald Trump mocked the navy, calling its aircraft-carriers “toys”.

Britain’s government is keen to change the narrative. On Thursday the defence secretary, John Healy, revealed that British forces had spent a month monitoring Russian submarines that had been spying on critical infrastructure in the North Atlantic—proof, he claimed, that Britain couldn’t simply send all its hardware to the Gulf. Policymakers and military chiefs will doubtless debate Britain’s use of its thin resources at the annual London Defence Conference, which begins on Friday. The message seems clear: deterring Russia is the priority.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Friday: Which short story by James Joyce was the last, and longest, in his Dubliners collection?

Thursday: In which Massachusetts town did witch trials occur in 1692-93?

There is not a crime, there is not a dodge, there is not a trick, there is not a swindle, there is not a vice which does not live by secrecy.

Joseph Pulitzer